Question 1

Presentation of financial statements – Arabella Ltd

Arabella Ltd (Arabella) prepares its financial statements in accordance with IFRS® Accounting Standards. The main business activity of Arabella is not investing in assets or providing financing.

You have been asked to assist with constructing the statement of changes in equity for the year ended 31 March 20X7.

Arabella had the following equity balances at 1 April 20X6:

	£000
Share capital	250
Share premium	480
Retained earnings	200
Revaluation surplus	150
	1,080

During the year ended 31 March 20X7, Arabella corrected an error relating to the year ended 31 March 20X6 which resulted in an increase to retained earnings of £10,000.

In addition, the following transactions took place:

- 17 April 20X6: Arabella paid a £15,000 dividend. 17 April 20X6: Arabella paid a £15,000 dividend. This dividend was declared on 31 March 20X6 and presented in the financial statements to the year ended 31 March 20X6.
- 25 May 20X6: 20,000 £1 ordinary shares were issued in exchange for an intangible asset that had a fair value of £400,000 at the date of exchange.
- 16 July 20X6: Arabella revalued some of its buildings downwards by £50,000 – this was included in other comprehensive income as it was reversing a previous increase. There were no other amounts presented in other comprehensive income.
- 3 November 20X6: Arabella repurchased 5,000 £1 ordinary shares for £15 per share. It did not issue any new shares and utilised retained earnings where required.
- 31 March 20X7: Arabella makes an annual transfer in respect of revalued assets. The amount of the transfer has been correctly calculated as £14,000 for the year.
- 31 March 20X7: Arabella presented profit for the year of £350,000. The directors declared a dividend of £35,000 on the same date, which was approved by the shareholders.

Notes:

Ignore the taxation impact of any transactions.

Required:

Construct, showing all workings, the statement of changes in equity for Arabella Ltd for the financial year ended 31 March 20X7.

(10 marks)

Question 2

Events after the reporting period – Sparkle Ltd

You are the audit manager in Ledger & Associates LLP, a professional services firm. During the audit of Sparkle Ltd (Sparkle), you are approached by the head of accounting who disputes your findings regarding the accounting treatment of several significant items. The company's year end is 30 September 20X7, and the annual general meeting (AGM) is scheduled for December 20X7. Sparkle prepares its financial statements in accordance with IFRS Accounting Standards.

Outstanding issues

Litigation

As of 30 September 20X7, a provision of £200,000 was made for the cost of an ongoing litigation against the company. In November 20X7, a court settlement of £180,000 was finalised. Legal expenses of £15,000 were incurred in the year to 30 September 20X7 and have not been accounted for. They remain unpaid and are considered to be material to the Sparkle.

Equipment purchase

On 1 September 20X7, the directors signed an agreement for the acquisition of new equipment costing £800,000, to be delivered and paid for on 31 December 20X7. The agreement allows either Sparkle or the supplier to cancel without penalties. The equipment is expected to be utilised immediately on receipt. This acquisition is considered a material asset purchase.

Supply agreement

On 10 September 20X7, the head of sales entered into a binding supply agreement to sell products worth £500,000, with delivery scheduled for 20 January 20X8. It was initially estimated that costs to fulfil the contract would be £350,000. However, in late November 20X7, revised costs were determined to be £550,000 due to an unforeseen rise in raw material prices. The agreement can be terminated at a cost of £250,000.

Dividend declaration

On 15 October 20X7, the board of directors declared a final dividend of £1.20 per share for the fiscal year ended 30 September 20X7, pending approval at the upcoming AGM.

Required:

Advise how each matter in the Appendix should be accounted for in the financial statements of Sparkle for the year ended 30 September 20X7.

(9 marks)

Question 3

Change in accounting policies – Souter Solids plc

Souter Solids plc (Souter) prepares financial statements in accordance with IFRS Accounting Standards.

The following decisions and information became available after the year end date of 31 January 20X9.

Revaluation of factories

The directors of Souter wish to measure its factories at fair value from 31 January 20X9. The following information is available:

Date	Cost	Accumulated depreciation	Fair value
	£'000	£'000	£'000
1 February 20X6	5,000	2,100	4,200
31 January 20X7	6,250	2,700	4,900
31 January 20X8	6,930	3,250	5,330
31 January 20X9	7,300	3,900	6,000

The depreciation charge on historical cost was £600,000 for 20X7, £550,000 for 20X8 and £650,000 in 20X9. Based on fair values, depreciation would be £660,000 for 20X7, £590,000 for 20X8 and 710,000 for 20X9.

Prior period error

In addition, while constructing the year-end financial statements, it has been discovered that the retained earnings for the year ending 31 January 20X8 were overstated by £700,000 due to error in the closing inventory. The retained earnings balance as reported in January 20X8 was £12m and the profit for the year ended 31 January 20X9 (prior to adjusting the error) is £1.4m.

Estimated warranty provision

Souter revised its estimates regarding the warranty provisions for its products at 31 January 20X9. Historically, the company estimated that 2% of its sales would require warranty services. However, due to improved quality control measures and historical data analysis, the company has now revised this estimate to 1% of its sales.

Required:

1. Advise, showing all workings, on the impact of the proposed changes in measurement basis for the factories, as requested by the directors.

(4 marks)

2. Advise, showing all workings, how the effect of the prior year error would be presented in the statement of changes in equity for the year ended 31 January 20X9.

(3 marks)

3. Advise how Souter should account for the change in estimated warranty provision.

(2 marks)

Total marks (9 marks)

Question 4

Interim reporting - Feather plc

You are the financial accountant for Feather plc (Feather), a listed company in the soft furnishings retail trade. Feather prepares its financial statements in accordance with IFRS Accounting Standards.

The new finance director does not have experience in preparing interim financial statements and has asked for your advice on whether Feather is required to prepare an interim report and, if so, what information should be presented. Feather has seasonal trade and the finance director would like to ensure that the revenue reported in any interim financial statements is based on a proportion of the whole year revenue forecasts rather than the actual year to date amounts.

Required:

1. Advise on why and when interim reports are required and on the content of interim reports.

(6 marks)

2. Advise, with reference to the ICAS Code of Ethics, of any ethical issues that arise in the scenario.

(2 marks)

Total marks (8 marks)

Question 5

EPS – Cubby Creations plc

You are preparing the financial statements of Cubby Creations plc (Cubby), a listed company, for the year ended 30 September 20X9 in accordance with IFRS Accounting Standards. Today, you are working on the earnings per share figures for disclosure on the face of the statement of profit or loss.

Relevant information is included in the Appendix.

Required:

Calculate, showing all workings, Cubby's basic and diluted earnings per share for disclosure in the financial statements for the year ended 30 September 20X9.

(13 marks)

Appendix

Information regarding earnings per share

1. On 1 October 20X8, the issued share capital of Cubby comprised 15 million £0.50 ordinary shares and 5 million £1.00 preference shares. The preference shares are neither redeemable nor convertible and any preference dividend paid is at the discretion of the directors. There hadbeen no change in the share capital for a number of years.
2. In March 20X9, the company made a rights offer to its existing shareholders of two new ordinary shares for every five existing ordinary shares held. The offer was taken up by 90% of shareholders on 1 June 20X9, who purchased the new shares for £4.00 each. The fair value ofeach ordinary share on 31 May 20X9 was £5.25.
3. On 1 August 20X9, Cubby repurchased 2.5 million ordinary shares for cash. No new issue ofshares was made at the time and the transaction has been accounted for correctly.
4. At 30 September 20X9, Cubby also had 3 million £1.00 8% convertible bonds in issue. The bonds have been in issue since 20X6 and bondholders can convert their bonds into ordinaryshares at a rate of 500 shares for every £1,000 bonds held on 30 September in 5 years' time.
5. During the year ended 30 September 20X9, Cubby paid an ordinary dividend of £2.6m and a preference dividend of £200,000.
6. All Cubby's operations are continuing and extracts from the draft statement of profit or loss forthe year ended 30 September 20X9 show the following:

	£'000
Interest expense on borrowings	(563)
Loss before income taxes	(1,988)
Income tax expense	(214)
LOSS FOR THE YEAR	(2,202)

7. Cubby's basic and diluted earnings per share figures in the 20X8 published financial statements were 18.5p and 18.0p respectively.
8. Income tax is calculated at 25%.

Question 6

Prior year error and EPS – Geller plc

Geller plc (Geller) is preparing its financial statements for the year ended 31 October 20X8, in accordance with IFRS Accounting Standards. Statements of profit or loss for 20X8 (draft) and 20X7 are shown in the Appendix.

During the audit of the 20X8 draft financial statements, it has been discovered that one of the service managers has been recording fees in advance of any work being carried out as soon as a contract was signed. This has resulted in £18.85m of revenue being recorded in the 20X8 financial statements, which relates to work not due to be undertaken until after the year end.

On further investigation, it was found that this has been going on since 20X6, with £13.614m of revenue being recorded in the 20X7 financial statements relating to work done in 20X8 and £3.979m of revenue being recorded in the 20X6 financial statements relating to work done in 20X7. All costs for this work had been recognised correctly.

The directors consider the effect of the errors to be material and that the errors will have a tax effect of 25% for all years concerned. The weighted average number of shares used in the earnings per share calculations for both years was 20 million.

Required:

1. Calculate, showing all workings, of:
   a) The net effect of the errors on profit for the years ended 31 October 20X8 and 20X7.
   b) The revised earnings per share for each of the years ended 31 October 20X8 and 20X7.

(4 marks)

2. Advise, showing all workings, on what disclosure would be required in respect of these material errors in the financial statements for the year ended 31 October 20X8.

(6 marks)

Total marks (10 marks)

Note: Ignore VAT.

Appendix

Statements of profit or loss

Geller plc
Statement of profit or loss
For the year ended 31 October

	20X8 Draft £'000	20X7 Final £'000
Revenue	627,640	550,699
Cost of sales	(477,006)	(410,839)
Gross profit	150,634	139,860
Selling expenses	(49,649)	(48,222)
General and administrative expenses	(60,683)	(58,939)
Operating profit	40,302	32,699
Profit before financing and income taxes	40,302	32,699
Income tax expense	(11,083)	(9,483)
PROFIT FOR THE YEAR	29,219	23,216

	pps	pps
Basic earnings per share	146.0	116.0

Note: 'pps' denotes pence per share.

Question 7

EPS – Glass Group

Glass plc (Glass) is a listed company and is the parent company within the Glass Group. On 1 November 20X4, Glass' issued share capital was 10 million £0.60 ordinary shares and 4 million £1.00 preference shares. During the year ended 31 October 20X5, Glass made a rights offer to its shareholders of three new ordinary shares for every 10 existing ordinary shares held. The offer was fully subscribed by shareholders and they purchased the new shares for £3.00 each on 1 May 20X5. The fair value of each ordinary share on 30 April 20X5 was £4.15.

At 31 October 20X5, the ordinary shareholders of Glass also held options which are exercisable between 1 November 20X8 and 1 May 20X9 to purchase 1.2 million ordinary shares at £2.80 per share. No options were issued during the year ended 31 October 20X5. The average fair value of the ordinary shares during the year was £4.20 each.

Glass paid an ordinary dividend of £1.04m and a preference dividend of £160,000 during the year ended 31 October 20X5. Preference shares are classified as equity.

Further information relevant to earnings per share is included in the Appendix.

Required:

Calculate, showing all workings, of the Glass Group's basic and diluted earnings per share for the year ended 31 October 20X5.

(8 marks)

Note: The income tax rate is 25%.

Appendix

Information relevant to earnings per share

Glass Group
Consolidated statement of profit or loss (extracts)
For the year ended 31 October 20X5

	£'000
Interest expense on borrowing and lease liabilities	(329)
Profit before income taxes	4,196
Income tax expense	(1,049)
PROFIT FOR THE YEAR	3,147
Profit attributable to:	
Owners of the parent	3,005
Non-controlling interests	142
	3,147

Question 8

Discontinued operations – Olive Ltd

Olive Ltd (Olive) has been operating in the olive oil industry for several years. Its main business activity is the production and retail of olive oil. It owns plantations in Greece, where the olives are used in its own oil extraction facilities. The olive oil is then sold through the company's own chain of retail outlets.

For several years, the retailing business has faced severe competition and became loss making in 20X3. The directors sold the retailing business on 31 October 20X3. They are now considering how they should present this business in the statement of profit or loss (SPL) for the year ending 31 December 20X3. By divesting the retailing business, the directors believe they can focus more on the core operation of oil extraction, rather than managing the retail sale of their product. The retailing business was significantly different from their core operations, targeting a broader and distinct customer base.

The retailing business was sold for £7m on 31 October 20X3. The net assets of the business at that date equalled £5.2m. The company's draft statement of profit or loss is provided next. Olive presents information on the face of the statement of profit or loss rather than in the notes:

Olive Ltd
Draft statement of profit or loss
For the year ended 31 December 20X3

	£'000
Revenue	52,700
Cost of sales	(38,500)
Gross profit	14,200
Selling expenses	(4,500)
General and administrative expenses	(1,500)
Operating profit	8,200
Profit before financing and income taxes	8,200
Interest expense of borrowing and lease liabilities	(600)
Profit before income taxes	7,600
Income tax expense	(1,900)
PROFIT FOR THE YEAR	5,700

The amounts for the retailing business included in the previous statement are as follows:

Revenue	5,200
Cost of sales	(4,500)
Gross profit	700
Selling expenses	(1,400)
General and administrative expenses	(1,000)
Operating loss	(1,700)
Loss before financing and income taxes	(1,700)
Loss before income taxes	(1,700)
Income tax expense	675
LOSS FOR THE YEAR	(1,025)

Required:

1. Advise on how the retailing business should be presented in the statement of profit or loss for the year ended 31 December 20X3.

(4 marks)

2. Construct, showing all workings, the statement of profit or loss for the year ended 31 December 20X3.

(5 marks)

Total marks (9 marks)

Question 9

Discontinued operations – International Beverages Ltd

International Beverages Ltd (International Beverages) has been operating in the beverages business for several years. Its main business activity is the manufacture of beverages. International Beverages has four divisions: carbonated drinks, juices and plant drinks, caffeinated drinks and alcohol-free spirits. For several years, the alcohol-free spirits division has faced severe competition which has reduced profitability. The directors of International Beverages decided on 14 May 20X2 to sell the related division. The decision was announced to the employees on 20 June 20X3. A binding sales agreement was entered into on 1 September 20X3 with Co-op Spirits Ltd (Co-op Spirits) to sell the alcohol-free spirits division for £32m. The carrying amount of the assets in the alcohol-free spirits division at this date was £29m. The sale was completed on 1 October 20X3.

The draft statement of profit or loss for the year ended 31 December 20X3 is provided:

Draft statement of profit or loss and additional information

International Beverages Ltd
Statement of profit or loss
For the year ended 31 December 20X3

	Draft 20X3 £'000
Revenue	84,000
Cost of sales	(45,000)
Gross profit	39,000
Warehouse expense	(4,250)
General and administrative expenses	(6,780)
Operating profit	27,970
Profit before financing and income taxes	27,970
Interest expenses on borrowing and lease liabilities	(490)
Interest expenses on pension liabilities and provisions	(930)
Profit before income taxes	26,550
Income tax expense	(7,514)
PROFIT FOR THE YEAR	19,036

The amounts for the alcohol-free spirits included in the previous statements are as follows:

	Draft 20X3 £'000
Revenue	6,600
Cost of sales	(6,250)
Gross profit	350
Warehouse expense	(150)
General and administrative expenses	(450)
Operating loss	(250)
Loss before financing and income taxes	(250)
Loss before income taxes	(250)
Income tax expense	100
LOSS FOR THE YEAR	(150)

Required:

Construct, showing all workings, the statement of profit or loss for the year ended 31 December 20X3 and the accompanied notes in accordance with IFRS 5.

(8 marks)

Question 10

Related party disclosures – Admiral Group

You are the financial accountant of the Admiral Group and are in the process of preparing disclosure notes for the consolidated financial statements for the year ended 31 December 20X4, in accordance with IFRS Accounting Standards.

The group consists of Admiral Holdings plc (Admiral) and its two wholly-owned subsidiaries: Castle Yacht Builders Ltd (Castle) and Sail Makers Ltd (Sail).

The managing director believes that disclosure requirements are extensive and wants to ensure that the annual report contains only those disclosures that are required by IAS 24 Related Party Disclosures.

Information relevant to related party disclosure is included in the Appendix.

Required:

Identify the related parties of the Admiral Group and advise the managing director, providing explanations, on the required related party disclosures for inclusion in the Admiral Group's consolidated financial statements for the year ended 31 December 20X4.

(12 marks)

Note: Assume that all transactions are material.

Appendix

Information relevant to related party disclosure

Boat Builders Inc

For several years, Castle has paid an annual consultancy fee of £150,000 to Boat Builders Inc (Boat), an American company. On 31 March 20X4, one of the directors of Boat purchased a 2% shareholding in Admiral. This director is also a shareholder of Boat. On 1 April 20X4, the chairman of Admiral joined the board of directors of Boat. They are to receive an annual fee of £10,000 as a director.

Hull Fabrications plc

Hull Fabrications plc (Hull) has a 20% shareholding in Admiral. Hull has provided a loan of £2m to Admiral. Two directors of Hull, who are also shareholders of Hull, sit on the board of directors of Admiral.

Castle Yacht Builders Ltd

Hull is one of the three main suppliers to Castle. During the year, Castle purchased materials from Hull at a cost of £5m.

A further £17m of supplies were provided by Forrest Woods plc and £9m by Metal Bashers Ltd – the other main suppliers. There are no shareholdings between either of these two companies and the Admiral Group.

Sail Makers Ltd

On 30 September 20X4, Sail sold equipment to Hull for £45,000. The equipment had a carrying amount of £30,000 and a fair value of £50,000.

During the year, Sail sold goods to Admiral for £650,000. At the year end, Admiral had sold all of the goods and had paid Sail £400,000.

Question 11

Related party disclosures – Vario Downhole Ltd

You are the recently appointed financial controller of Vario Downhole Ltd (Vario), a company specialising in the manufacture of deep-water drilling equipment. You are finalising the financial statements for the year ended 30 June 20X4, in accordance with IFRS Accounting Standards.

Today, you must complete the related party disclosures.

Information on group structure and the board of directors is included in Appendix 1. Information on transactions is included in Appendix 2.

Required:

Identify the related parties of Vario and advise, providing explanations, of the required related party disclosures for Vario's financial statements for the year ended 30 June 20X4.

(11 marks)

Note: Assume that all transactions are material.

Appendix 1

Group structure and the board of directors

Group structure

Deepwater Solutions plc (Deepwater) owns all of the ordinary share capital of Vario. Vario owns 30% of the ordinary share capital of Index Cleaning Solutions Ltd (ICS) and 5% of the ordinary share capital of Beta Paints Ltd (Beta).

Vario's board of directors

Name	Role	Shareholding in Deepwater
Ronald Stanley	Chief Executive	55%
William Tait	Operations Director	30%
Janine Fraser	Finance Director	10%
Colleen Wing	Sales and Marketing Director	5%

Appendix 2

Transactions

Management charges

During the year, Deepwater invoiced Vario for management charges in respect of head office costs totalling £575,000. This was settled in full on 30 June 20X4.

Cleaning services

During the year, ICS provided industrial cleaning services for Vario, totalling £1.25m. These services were provided at their stand-alone selling price.

£210,000 of services remained unpaid at 30 June 20X4.

Industrial painting

On 1 July 20X3, Vario awarded its industrial painting contract to Beta. This is a 3-year contract to clean and paint all Vario's equipment.

The contract generates £145,000 of revenue each year, representing over 90% of Beta's revenue.

At the year end, £20,000 of invoices from Beta were unpaid and were included in Vario's trade payables.

Pension scheme

The pension scheme is a separate legal entity and its financial statements are prepared to the same year-end date as Vario.

The pension scheme owns several properties which it lets out commercially. These include several satellite offices occupied by Vario in key business locations across the country.

The total rent paid by Vario to the pension scheme in relation to the directors for the year ended 30 June 20X4 was £65,000.

Janine Fraser has prepared a paper on the possible sale of Vario's head office complex to the pension scheme and its subsequent leaseback. This is expected to get board approval in August and the sale of £1.3m will be finalised on 1 November 20X4.

Loan facility

Vario banks with the Bank of Eurasia and renewed its long-term loan facility of £5m on

31 January 20X4 for a further 12 months. The arrangement fee was 1% of the loan facility and was recorded in the interest expense in the statement of profit or loss. The bank holds security over the assets of the company.

Furthermore, there is a cross-guarantee in place such that Deepwater and Vario have guaranteed each other's bank loans.

At the year end, Vario's non-current loan balance was £3.25m.

Question 12

Directors' remuneration – 19th Hole Entertainments Ltd

You are preparing the financial statements for the year ended 31 July 20X5 for 19th Hole Entertainments Ltd (19th Hole).

You must prepare the disclosure notes relating to 19th Hole's directors' remuneration. Information relevant to disclosure notes is included in the Appendix.

19th Hole is not a small company in terms of the Companies Act 2006.

Required:

Construct, showing all workings, the directors' remuneration disclosure note for the year ended 31 July 20X5.

(10 marks)

Appendix

Information relevant to directors' remuneration

Details relating to the directors' remuneration are as follows:

	Gross salary £'000	Annual bonus £'000	Long-term incentive scheme bonus £'000	Pension plan contributions £'000	Benefits in kind £'000	Total £'000
Morgan Driver	75	12	15	8	4	114
Jordan Iron	75	9	17	7	4	112
Sandy Wedge	75	10	14	8	3	110
Ashley Wood	19	-	5	2	1	27
	244	31	51	25	12	363

In addition to the amounts above, Jordan Iron received fees of £2,000 from a subsidiary of 19th Hole.

Morgan Driver and Jordan Iron are members of a defined contribution pension plan. Sandy Wedge and Ashley Wood are members of a defined benefit pension plan.

Ashley Wood left the company on 31 October 20X4. From 1 November 20X4 to 31 July 20X5, they received £24,000 of their pension. When they left, they retained their company car as compensation for loss of office. The car had a market value of £7,000 on 31 October 20X4.

Question 13

Directors' remuneration – Swan Songs Music plc

You are the recently appointed finance manager of Swan Songs Music plc (Swan), which prepares its annual financial statements to 30 September each year.

Today, you are required to construct the directors' remuneration disclosure note for inclusion in the financial statements. Relevant information relating to directors' remuneration is included in the Appendix.

Required:

Construct, showing all workings, the directors' remuneration disclosure note for the year ended 30 September 20X8.

(10 marks)

Appendix

Information relevant to directors' remuneration

1. Swan is a large company for reporting purposes.
2. Swan had five directors serving on the board during the year ended 30 September 20X8. Details of their remuneration packages and certain other related matters are given in the following table:

Director	Basic salary	Annual bonus	Long-term incentive scheme bonus	Benefits in kind
	£	£	£	£
McGuigan	165,000	30,000	8,000	4,000
Eddo	140,000	30,000	7,000	15,000
Kumar	140,000	25,000	6,000	2,000
Li	140,000	10,000	0	9,000
Smith	90,000	10,000	0	6,000
Total	675,000	105,000	21,000	36,000

3. Three of the directors – McGuigan, Eddo and Kumar – are members of Swan's defined contribution pension scheme. Swan makes contributions of 7% of basic salary to the scheme on behalf of each member.
4. The other two directors are members of a defined benefit pension scheme. At 30 September 20X8, Li has an accrued pension pot of £560,000 and Smith has a pot of £750,000.
5. In addition to the amounts above, McGuigan received fees of £5,000 from a joint venture of Swan, and Eddo and Kumar received fees of £3,000 each from an associate of Swan.
6. In addition to the amounts above, McGuigan also received fees of £7,000 from a subsidiary of Swan.
7. McGuigan and Eddo also held share options which were exercised during the year and received a gain of £2,000 each.
8. Smith left his position on 15 March 20X8. As part of his severance package, Smith was allowed to keep his company car, company laptop and smartphone, which had a combined market value of £32,500 as of 15 March 20X8.